

Can the Fed control inflation and maintain full employment?

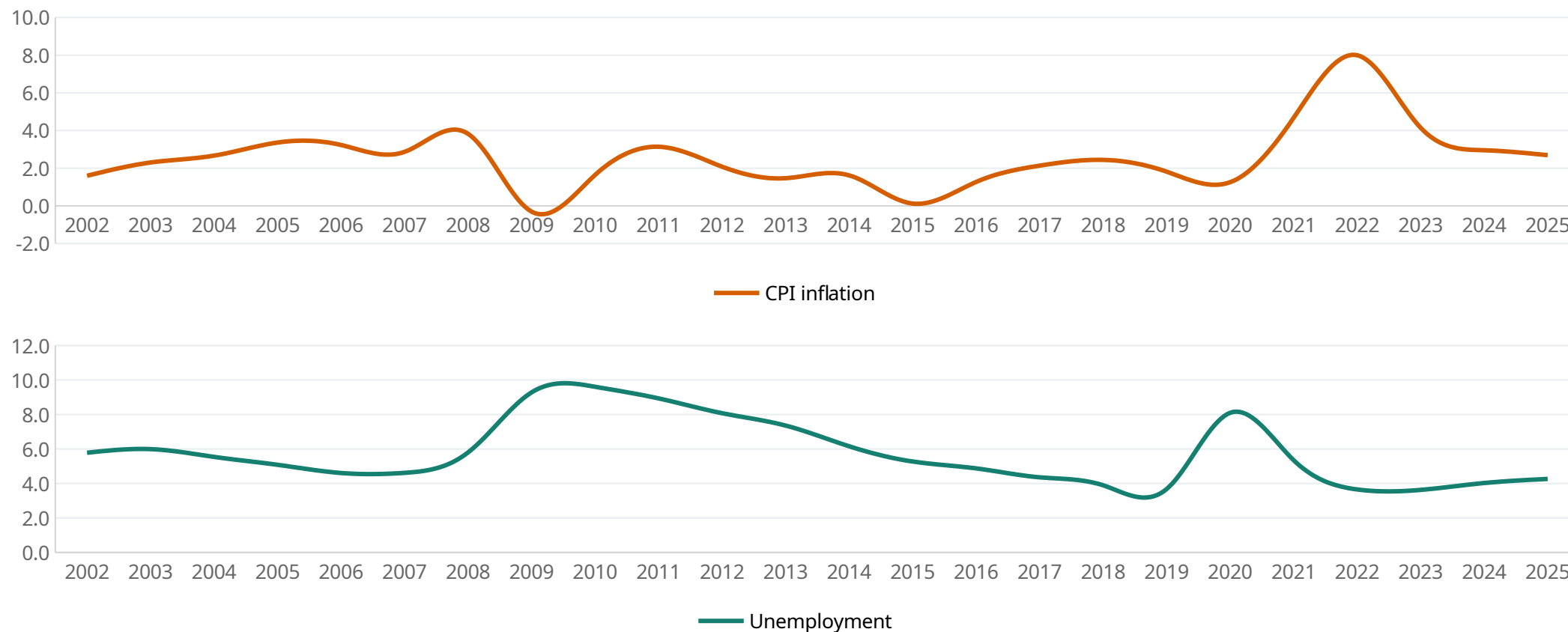
Twenty-five years show periods of low inflation and low unemployment, but no uninterrupted success.

A long view of CPI inflation, the federal funds rate and unemployment, September 2001–August 2026.

Muhammad Suffyan Khan | Professor Peter Kowalchuk | Fall 2026

The two goals have coincided, but crises disrupted both

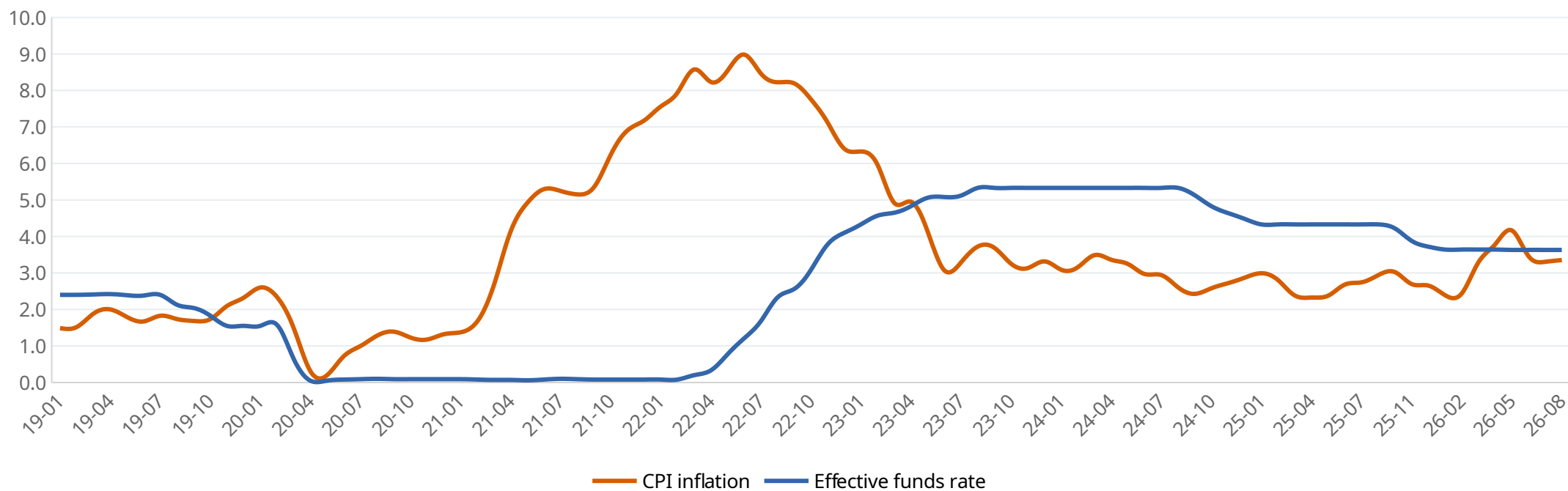
Annual monthly averages, 2002–2025; 2026 is excluded because the year is incomplete.



High unemployment followed the 2008 crisis and the 2020 pandemic; inflation surged in 2021–22.

Inflation rose before the largest rate increases

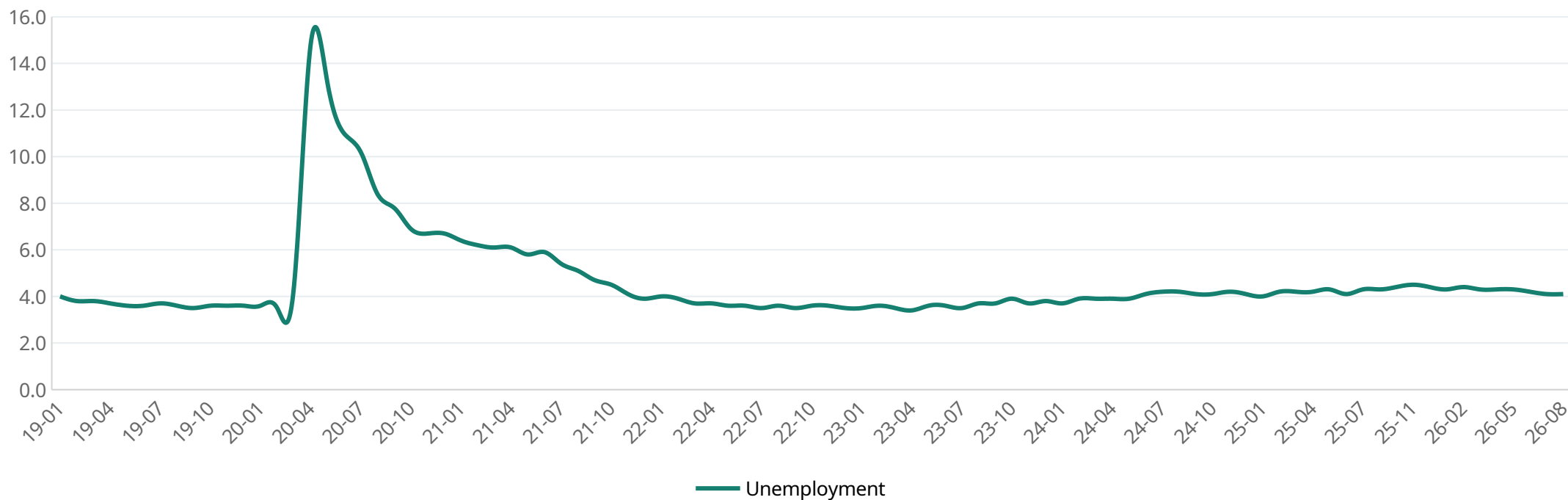
Monthly values, January 2019–August 2026



CPI inflation peaked near 9.0% in June 2022. The funds rate then climbed above 5%.

Disinflation did not require a return to crisis unemployment

Monthly unemployment rate, January 2019–August 2026



Unemployment reached 14.8% in April 2020; it was 4.1% in August 2026.

The evidence supports a qualified answer

The Fed has not maintained low inflation and low unemployment continuously.

Low inflation and low unemployment have coexisted in some periods. Inflation fell after the 2022 rate increases without unemployment approaching the 2020 peak, but CPI inflation rose again during spring 2026.

A timeline shows sequence. It cannot separate the Fed's effect from supply shocks, fiscal policy and global events.

Design choices make the story testable

Audience: a general reader who needs an understandable answer to the dual-mandate question.

Story framework: show the 25-year record, zoom into the inflation episode, then weigh both goals and the limits of attribution.

Visual selection: aligned time-series lines show order and delays; separate unemployment panels preserve legibility; direct takeaway titles communicate each result.

Technology: Plotly in the coded notebook, with editable charts [here](#). Story 1 used Matplotlib and Seaborn.